

ECONOMY — Five-Year Plans, Industrial Policy & 1991 Reforms

Batch 7 of 10 · Sources: Parmar Ch.10 (Five Year Plan and IPR) + Lucent §6 (Planning) + §8 (NEP/Reforms) + §13-14 (Industry) · PYQ buckets "06 Economic Planning & Institutions" (64 Qs) + "10 Industry and Infrastructure" (40+ Qs) + "12 New Economic Policy 1991" (25+ Qs) — the densest batch in this build · ★ = tested in a real past SSC paper

1 Pre-Independence Plans

Plan	Year	Author	Note
Visvesvaraya Plan	1934	M. Visvesvaraya	India's earliest planned-development blueprint; "Planned Economy for India"
National Planning Committee	1938	Formed by S.C. Bose; 1st Chairman J.L. Nehru	First attempt at a National Plan
Bombay Plan	1944-45	Leading capitalists incl. J.R.D. Tata	"A Plan of Economic Development for India"
Gandhian Plan	1944	—	Decentralised economy, self-contained villages
People's Plan	1945	M.N. Roy	Post-War Reconstruction Committee, Indian Trade Union
Sarvodaya Plan	1950	Jaiprakash Narayan	First blueprint for Independent India

Five-Year Plan concept borrowed from **USSR** (Stalin, 1928). Goals: **Growth, Modernisation, Self-reliance, Equity** ★ — "Dependence on foreign aid" was **NEVER a goal** ★ (a tested "which is NOT a goal" question). 20-year long-term framework = **Perspective Plan**. At Independence, ~75% population depended on agriculture; industry = 13% of GDP (1950-51).

2 The Twelve Five-Year Plans

Plan	Duration	PM	Basis/Focus	Target/Achieved
1st ★	1951-56	Nehru	Harrod-Domar Model ★; agriculture/irrigation (Bhakra Nangal, Hirakud) ★; FM: C.D. Deshmukh ★	2.1%/3.6% (Success)
2nd ★	1956-61	Nehru	Mahalanobis Model ★ — heavy industry/rapid industrialisation ★; "real planning began here" ★; IPR 1956 based on it; Bhilai/Rourkela/Durgapur steel plants (USSR/UK/Germany aid) ★; socialist pattern (Avadi session, 1955) ★; criticised by B.R. Shenoy (state control threatens democracy) ★	4.5%/4.3% (Moderate)
3rd ★	1961-66	Nehru→Shastri	Gadgil Formula ★; FAILED — Sino-Indian War (1962) ★ + Indo-Pak War (1965) + severe drought ★; PL-480 wheat imports; "Jai Jawan Jai Kisan" (Lal Bahadur Shastri)	5.6%/2.4-2.8% (Failure) ★
Plan Holiday ★	1966-69	—	3 Annual Plans instead of a 5-yr plan (post-3rd-plan failure, wars, drought, rupee devaluation 1966) ★; Green Revolution begins	—
4th ★	1969-74	Indira Gandhi	Gadgil Formula/Rudra-Allen Model ★; "Growth with Stability" + self-reliance; 14 banks nationalised (1969) ★; MRTP Act 1969 ★; Pokhran-I "Smiling Buddha" (1974)	5.6%/3.3% (Failure)

5th ★	1974-78	Indira Gandhi	D.P. Dhar Model; "Garibi Hatao" ★; Minimum Needs Programme (1974) ★ — basic services not just income growth ★; IDBI separated from RBI (1976) ★; Hill Area Development Programme ★	4.4%/4.8% (Moderate)
Rolling Plan ★	1978-80	Morarji Desai	Janata Party govt ★; inspired by Gunnar Myrdal's <i>Asian Drama</i> ; introduced by Deputy Chairman D.T. Lakdawala ★; terminated the 5th Plan a year early	—
6th ★	1980-85	Indira Gandhi	"Garibi Hatao" + modernisation ★; IRDP/NREP/TRYSEM ★; NABARD est. 1982 ★; SSIs = key to employment/export/rural development ★	5.2%/5.7% (Success)
7th ★	1985-90	Rajiv Gandhi	"Food, Work, Productivity" ★; tech modernisation, License Raj relaxed, first priority to private-sector investment ★; Jawahar Rozgar Yojana (1989, merged NREP+RLEGP); laid foundation for 1990s liberalisation ★; Dept. of Biotechnology set up	5%/6% (Success)
Annual Plans	1990-92	—	No 5-yr plan (political uncertainty); 1991 BoP crisis → LPG reforms begin	—
8th ★	1992-97	P.V. Narasimha Rao	Structural adjustment ★; License Raj ends, public-sector share declines; delayed 2 yrs from schedule (1990) ★	5.6%/6.8% (Highly successful)
9th ★	1997-2002	Atal Bihari Vajpayee	"Growth with Social Justice & Equality" ★; public-sector emphasis declines further ★; Pokhran-II (1998)	6.5%/5.4% (Failure)
10th ★	2002-07	Vajpayee (Chairman) / K.C. Pant (Dy. Chairman, from 1999) ★	Aimed to double per-capita income , cut poverty to ~5% by 2007 ★; National Horticulture Mission, Jute Technology Mission	8%/7.6% (Failure)
11th	2007-12	Manmohan Singh	Rapid/inclusive growth; overlapped 2008 global financial crisis	9%/8% (Failure)
12th ★	2012-17	Manmohan Singh	Faster/inclusive/sustainable growth; target cut from 9% to 8% ★ due to Eurozone debt crisis/post-2008 slowdown	8% target

HOOK P.C. Mahalanobis = "Architect of Indian Planning" ★ — birthday **29 June = Statistics Day** ★; founded Indian Statistical Institute, Kolkata; journal *Sankhya*. His model prioritised **heavy industry/capital goods** over agriculture ★ ("machines that make machines"), public sector leading role in steel plants/dams — future production capacity over short-term consumer benefit ★.

TRAP Planning Commission ★ formed **15 March 1950** ★, non-constitutional advisory body, PM = ex-officio Chairman ★ (first Chairman: **Nehru** ★; first Deputy Chairman: **Gulzarilal Nanda** ★, PYQ-book-only, see A.2). Replaced by **NITI Aayog, 1 Jan 2015** ★ (announced 2014) — "bottom-up"/cooperative-federalism approach. Under the **4th Plan**, Indira Gandhi was ex-officio Chairperson ★ (as PM).

Green Revolution ★ introduced during the **3rd Five-Year Plan** ★ (1961-66), full effect from 1966-67 (Plan Holiday) — HYV seeds, credited to **Dr. M.S. Swaminathan**. **Import Substitution** ★ = inward-looking strategy across the first 7 plans — protect infant domestic industries from foreign competition ★ (NOT to expand trade, attract foreign investors, or create export dependency).

HOOK Hindu Rate of Growth ★ — term for India's slow (~3.5%) growth 1950s-1980s; coined by **Prof. Raj Krishna** ★.

3 Industrial Policy Resolutions (IPR)

IPR	Year	Key points
1st IPR ★	1948 ★	First industrial policy of independent India ★; led by Dr. Shyama Prasad Mukherjee ★ (Industry & Commerce Minister); declared Mixed Economy ★; 4 industry categories (Strategic/Basic/Regulated/Other); start of License Raj
2nd IPR ★	1956 ★	"Economic Constitution of India" ★; objective = growth with equity ★; "socialistic pattern of society" ★; Commanding Heights Doctrine (coined by Lenin, 1922) ★; Schedule A (17 industries, public monopoly ★), Schedule B (12, public+private ★), Schedule C (rest, private) ★ — basis for later Maharatna companies
3rd IPR	1977	Morarji Desai/Janata govt; SSI emphasis; "Tiny Unit" concept (<₹1 lakh investment); MNC restrictions
4th IPR	1980	Indira Gandhi govt; back to heavy industries; foreign tech transfer encouraged (FERA 1973); Tiny Unit limit raised to ₹2 lakh
IPR 1991 ★	1991	Economic Liberalisation ★ — under P.V. Narasimha Rao, reforms by Manmohan Singh; shift from inward-looking to outward-oriented economy

HOOK **Karve Committee (1955)** ★ — Village & Small-Scale Industries Committee, Planning Commission, chaired by **D.G. Karve**; promoted **rural/labour-intensive small-scale industry** ★, NOT large-scale capital-intensive urban manufacturing ★ (a tested Assertion-true/Reason-false).

4 CPSE Classification

Category	Count ★	Criteria highlights	Example ★
Maharatna ★	14	Navratna status + listed + turnover ₹25,000+cr, net worth ₹15,000+cr, profit ₹5,000+cr; can invest up to ₹5,000cr/15% net worth without govt approval ★	NTPC, BHEL, HAL, Power Finance Corporation (granted Oct 2021) ★
Navratna	26	Miniratna-I or Schedule A + score ≥60/100; invest up to ₹1,000cr/15% net worth	BEL, Engineers India
Miniratna	~73 (Cat I/II)	3-yr consecutive profit; Cat I: pre-tax profit ≥₹30cr in any 1 of 3 yrs	Airports Authority of India

PSU industries' rationale (1947-90) ★: lack of private capital → public sector led strategic/social-goal industries, balanced regional development ★ (not because public sector was "inherently more efficient" — a tested distractor).

5 Industry Classification

Type	Meaning	Examples ★
Heavy Industry ★	Bulky/heavy raw materials (iron ore, coking coal), large capital ★	Iron & steel, shipbuilding, automobiles ★
Light Industry	Light raw materials, low capital/energy	Sewing machines, paint brushes, watches, electric bulbs ★
Basic/Capital Goods Industry ★	Produces machines/inputs for other industries	Iron & steel, aluminium smelting ★, machine tools
Consumer Goods Industry ★	Direct-consumption goods	Toothpaste ★, soap, clothes
Agro-based Industry ★	Raw material from agriculture	Cotton textiles, sugar (from sugarcane) ★ — NOT cement/petrochemicals/steel/aluminium (mineral-based, tested distractor)

HOOK India's **textile industry** ★ is self-reliant across its **full value chain** ★ (cotton→spinning→weaving→garment→export) — "Farm to Fashion" model. **Sugar industry** ★: seasonal (sugarcane availability), mills sited near sugarcane fields (sucrose degrades during transport ★); top producers UP/Maharashtra/Karnataka/Tamil Nadu ★; India = 2nd largest sugar producer (after Brazil ★) but **1st in gur/khandsari** ★.

Sindri Fertilizer Plant ★ — first major PSU industrial unit of independent India, est. **1951**, Dhanbad district, **Jharkhand** ★ (near Jharia coalfield for fuel supply). **Urea** = most-produced nitrogenous fertilizer ★; India is import-dependent on **potash** (not self-sufficient — tested distractor). **Chennai** = "**Detroit of India**" ★ (PYQ-book-only, see A.2; auto hub: Hyundai/Ford/BMW/TVS/Ashok Leyland) — NOT a petrochemical hub (that's Jamnagar/Dahej, Gujarat) ★.

6 1991 Reforms — New Economic Policy (NEP) / LPG

HOOK Reforms launched **24 July 1991** ★ — PM P.V. Narasimha Rao, FM Manmohan Singh ("Rao-Manmohan Model") ★; objective: overcome BoP crisis, dismantle License Raj, integrate globally ★. Also called **New Economic Policy (NEP)** ★. Divided into: **Stabilisation measures** (short-term — control inflation ~17%, fix BoP ★, rupee devalued 18-20% July 1991) + **Structural reforms** (long-term — LPG).

L / P / G	Meaning
Liberalisation ★	↓ govt regulation/licensing/restrictions — removed barriers to firm entry/growth ★ (License Raj restricted entrepreneurial freedom — a tested A-R, both true)
Privatisation	Shift PSU ownership/management to private entities; DIPAM (Dept. of Investment & Public Asset Mgmt, ex-Dept of Disinvestment) manages this
Globalisation ★	Integration via trade/FDI/tech flow — NOT expanding public-sector control (tested "NOT a goal" distractor) ★

TRAP IMF + World Bank ★ = key reform institutions (loans + policy guidance/structural-reform funding respectively ★) — NOT SAARC+WTO or BRICS+ADB. **Washington Consensus** does **NOT include export subsidies** ★ (it advocates trade liberalisation, ending subsidies — a tested "which is NOT part of" question). Trade reform post-1991: removed import quotas, cut tariffs on capital goods, abolished most licensing ★ (kept only for alcohol/cigarettes/hazardous chemicals/explosives — security/health/environment reasons ★).

LERMS (Liberalised Exchange Rate Management System) — dual exchange rate, introduced **1992** ★. Foreign-bank investment limit raised to **74%** ★ as part of financial-sector reform. Liberalisation affects **all 3 sectors** — primary, secondary, tertiary ★ (not just two). National Renewal Fund (Feb 1992, 8th Plan) — worker retraining/VRS support post-1991 reforms ★, abolished 2000.

HOOK Ease of Doing Business (EoDB) ★: "Enforcing Contracts" indicator = time/cost to resolve commercial disputes ★. **MCA21 ★** (Ministry of Corporate Affairs e-governance, SPICe+ forms) improved India's "Starting a Business" ranking. **DPIIT ★** (Dept. for Promotion of Industry & Internal Trade) = nodal body for industrial promotion + implements **PM Gati Shakti ★** (via its Logistics Division). **National Infrastructure Pipeline (NIP) ★** — announced 2019-20, formally from **2020 ★**, ₹111 lakh crore target (2020-25).

Appendix

A.1 — PYQ citation index (buckets 06+10+12, ~130 Qs combined — representative selection; full coverage reflected in-body)

Fact tested	Exam · Date · Shift (sample)
Planning Commission 1st Chairman = Nehru	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
Architect of Indian Planning = Mahalanobis	SSC CHSL Tier-I, 22/11/2025 (Sh-02); SSC CGL Tier-I 25/09/2025 (Sh-01)
Planning Commission function = 5-yr plans	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Import substitution objective	SSC CGL Tier-I, 20/09/2025 (Sh-02); 16/09/2025 (Sh-03); 20/09/2025 (Sh-01)
Rolling Plan = Morarji Desai, 1978-80	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Planning Commission established 1950	SSC CGL Tier-I, 24/09/2025 (Sh-01)
Mahalanobis strategy = heavy industry investment	SSC CGL Tier-I, 25/09/2025 (Sh-01)
IPR 1956 → 2nd Five Year Plan, commanding heights	SSC CGL Tier-I, 23/09/2025 (Sh-01); 23/09/2025 (Sh-02, Sh-03)
Growth w/ Social Justice = 9th Plan; 1st Plan=Harrod-Domar (statements)	SSC Stenographer, 07/08/2025 (Sh-02)
6th Plan = Garibi Hatao (statements)	SSC Stenographer, 07/08/2025 (Sh-01)
1st Plan launched 1951	SSC Phase XIII, 02/08/2025 (Sh-02)
Foreign aid = Soviet Union/UK/W.Germany, 2nd Plan	SSC Phase XIII, 24/07/2025 (Sh-03)
2nd Plan basis = Mahalanobis ideas	SSC CHSL Tier-I, 30/11/2025 (Sh-03)
2nd Plan ended 1961	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
4th Plan started 1969	SSC CPO Tier-I, 09/12/2025 (Sh-01)
8th Plan key issue = BoP+debt (statements)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Global crisis during 12th Plan launch	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
4th Plan Planning Commission Chairman = Indira Gandhi	SSC CHSL Tier-I, 24/11/2025 (Sh-02)
Hill Area Development Programme, 5th Plan	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
"NOT a goal" = dependency on foreign aid	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
3rd Plan disruption = war+drought	SSC CHSL Tier-I, 29/11/2025 (Sh-01); SSC CPO Tier-I 12/12/2025 (Sh-02)
Real planning began = 2nd Plan	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
Self-reliance goal, post-Independence (A-R)	SSC CGL Tier-I, 17/09/2025 (Sh-02)
Mahalanobis Model used in 2nd Plan	SSC CGL Tier-I, 17/09/2025 (Sh-03)
2nd Plan = Mahalanobis, heavy industry focus	SSC CGL Tier-I, 17/09/2025 (Sh-01)
MNP = Fifth Plan (A-R + direct Q)	SSC CPO Tier-I, 10/12/2025 (Sh-01); SSC CGL Tier-I 19/09/2025 (Sh-03)
3rd Plan failure (A-R)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
4th Plan growth+stability (A-R)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Import substitution rationale (A-R)	SSC CGL Tier-I, 16/09/2025 (Sh-03)
Plan Holiday definition	SSC CGL Tier-I, 20/09/2025 (Sh-03); 14/10/2025 (Sh-02)
Socialist pattern = 2nd Plan (Avadi session)	SSC CGL Tier-I, 24/09/2025 (Sh-02)

1st Plan focus = agriculture	SSC CGL Tier-I, 24/09/2025 (Sh-03)
Architect of 5-yr plans = Mahalanobis	SSC CGL Tier-I, 25/09/2025 (Sh-01)
Green Revolution = 3rd Plan	SSC CGL Tier-I, 25/09/2025 (Sh-03)
6th Plan aim = poverty/modernisation	SSC CGL Tier-I, 26/09/2025 (Sh-02, Sh-03)
Karve Committee = rural industrialisation (A-R)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
PFC granted Maharatna, Oct 2021	SSC CHSL Tier-I, 22/11/2025 (Sh-03); 18/11/2025 (Sh-03)
National Renewal Fund purpose	SSC CHSL Tier-I, 14/11/2025 (Sh-03)
IBC 2016 purpose = resolve financial distress	SSC Stenographer, 06/08/2025 (Sh-02)
Capital goods industry definition	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
EoDB "Enforcing Contracts" indicator	SSC Stenographer, 08/08/2025 (Sh-01)
Public sector dominance rationale 1947-90	SSC Stenographer, 08/08/2025 (Sh-03)
Non-manual tertiary occupation trend	SSC Stenographer, 08/08/2025 (Sh-03)
Light industries definition	SSC CGL Tier-I, 12/09/2025 (Sh-02)
Iron/steel = heavy industry (A-R)	SSC CGL Tier-I, 12/09/2025 (Sh-03)
Textile industry = full value chain self-reliance	SSC CGL Tier-I, 13/09/2025 (Sh-01)
Heavy industry pair = shipbuilding+automobile	SSC CGL Tier-I, 13/09/2025 (Sh-02)
Fertilizer industry statements (potash/urea/Gujarat-Kerala)	SSC CGL Tier-I, 13/09/2025 (Sh-03)
Consumer goods industry = toothpaste	SSC CGL Tier-I, 14/09/2025 (Sh-01)
Sugar industry statements	SSC CGL Tier-I, 14/09/2025 (Sh-02); 14/10/2025 (Sh-02)
Mahalanobis heavy-industry rationale (A-R)	SSC CGL Tier-I, 15/09/2025 (Sh-01)
Agro-based industry pair = cotton+sugar	SSC CGL Tier-I, 15/09/2025 (Sh-03)
IPR 1956 Schedule A/B/C (A-R)	SSC CGL Tier-I, 16/09/2025 (Sh-01)
Sindri plant = Jharkhand	SSC CGL Tier-I, 16/09/2025 (Sh-03)
1st Industrial Policy = 1948	SSC CGL Tier-I, 18/09/2025 (Sh-02); 21/09/2025 (Sh-02 A-R)
Heavy industry description	SSC CGL Tier-I, 20/09/2025 (Sh-02)
IPR 1956 objective = growth with equity	SSC CGL Tier-I, 23/09/2025 (Sh-01, Sh-02, Sh-03)
Chennai = Detroit of India (statements)	SSC CGL Tier-I, 23/09/2025 (Sh-02)
Basic industry = aluminium smelting	SSC CPO Tier-I, 11/12/2025 (Sh-02)
MCA21 improved Starting-a-Business EoDB	SSC CPO Tier-I, 12/12/2025 (Sh-02)
DPIIT handles industry+Gati Shakti (statements)	SSC CPO Tier-I, 12/12/2025 (Sh-02)
National Infrastructure Pipeline launched 2020	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
Deepak Parekh Committee (affordable housing), 2008	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
1991 reforms year/name (multiple phrasings)	SSC CGL Tier-I, 26/09/2025 (Sh-01); 25/09/2025 (Sh-01); Stenographer 06/08/2025 (Sh-01)
Stabilisation short-term objective = inflation/BoP	SSC CGL Tier-I, 23/09/2025 (Sh-03)
1991 crisis = external debt/BoP	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Trade reform impact on capital-goods imports	SSC Stenographer, 07/08/2025 (Sh-03)
Rupee devalued 1991 = boost exports/forex	SSC Phase XIII, 24/07/2025 (Sh-03)
IMF+World Bank role in reforms	SSC Phase XIII, 31/07/2025 (Sh-02)
"NOT a goal" of 1991 reforms = expand public sector	SSC CPO Tier-I, 10/12/2025 (Sh-01)
EoDB ranking weightage (A-R)	SSC CGL Tier-I, 21/09/2025 (Sh-01)
Streamlining regulations definition	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Liberalisation affects all 3 sectors	SSC CGL Tier-I, 17/09/2025 (Sh-01)
Washington Consensus excludes export subsidies	SSC CGL Tier-I, 19/09/2025 (Sh-03)
Liberalisation removes entry barriers (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-02)

1991 reforms opened economy to foreign investors (A-R)	SSC CGL Tier-I, 24/09/2025 (Sh-01)
Sectors excluded from post-91 licensing	SSC CGL Tier-I, 24/09/2025 (Sh-02)
LERMS introduced 1992	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
Foreign bank investment limit = 74%	SSC CHSL Tier-I, 26/11/2025 (Sh-02)
Trade policy reform: removed QRs (statements)	SSC Stenographer, 08/08/2025 (Sh-03)
1991 reforms boosted forex reserves (A-R)	SSC CGL Tier-I, 17/09/2025 (Sh-01)

A.2 — PYQ-book-only facts

K.C. Pant's exact tenure dates (5 Feb 1999–17 June 2004) as Deputy Chairman during the 10th Plan, Deepak Parekh Committee (2008, affordable housing), Gulzarilal Nanda as first Deputy Chairman of the Planning Commission, and "Chennai = Detroit of India" — all sourced to the PYQ book's own explanations, not independently present in the Parmar/Lucent raw extraction (though the 10th Plan itself and Vajpayee/Manmohan Singh chairmanship are backed).

A.3 — Doubts carried forward

CPSE counts (14/26/~73) and financial thresholds are time-sensitive (flagged in the raw extraction). Some Five-Year-Plan target/achieved growth figures vary slightly between the raw extraction and individual PYQ explanations (e.g. 3rd Plan achieved 2.4% vs 2.8% across different citations) — both transcribed as printed in their respective sources, not reconciled.

A.4 — Deliberately condensed

Lucent §6's Planning Commission organisational detail, PURA scheme text, and the full NEP §8 Washington-Consensus prescription list are condensed to the specific tested facts; a large tail of bucket-10 questions on very specific current-affairs schemes (India Industrial Land Bank/DPIIT, Udyam Portal) are covered only where they connect to book-backed industrial-policy content, not exhaustively.